

FalconLedger PoPL Lending Protocol — Economic Model

0.5% Emission per Epoch | 50/50 Bootstrap → Linear Taper to 70/30 over 24 Epochs | Fixed 5% APR

1. Key Assumptions (Locked)

Parameter	Value	Notes
Emission Rate	0.5% per epoch	Recurring every epoch
Bootstrap Split (Epoch 1)	50% Validators / 50% LPs	Mainnet launch
Taper Duration	24 epochs (~6 months)	Linear reduction
LP Allocation at End	30%	Final steady state
Validator Allocation at End	70%	After epoch 24
Taper Step	≈ 0.833 pp per epoch	20 percentage points ÷ 24
Fixed Lending APR	5%	Pool-level fixed rate

2. LP Yield Example (Single Pool)

Example: User supplies **10,000 FUsd** into a pool with **500,000 FUsd** total supplied. Pool has 65% utilization and 5% fixed APR. LP emissions allocation = 50% of 0.5% per epoch.

Metric	Value	Calculation / Note
Your Share of Pool	2.0%	10,000 / 500,000
Annualized Borrower Interest (Pool)	~16,250 FUsd	500k × 65% × 5%
Your Share of Interest	~325 FUsd / epoch	Pro-rata
Your Share of Falcon Emissions	Pro-rata of 50% of 0.5%	Depends on total epoch emission
Effective Yield	Interest + Falcon emissions	Dual yield model

3. Emission Split per Epoch (Launch Phase)

Bucket	Allocation	Purpose
Validators	50%	Consensus security
Lending LPs (PoPL)	50%	Bootstrap liquidity & usage

Total	100% of 0.5%	No treasury or dev allocation from emission
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4. Linear Taper Schedule (24 Epochs)

LP allocation reduces linearly from **50%** to **30%** over 24 epochs (≈ 0.833 percentage points per epoch).

Epoch	LP Allocation	Validator Allocation	Notes
1 (Launch)	50%	50%	Maximum bootstrap incentive
6	45.8%	54.2%	
12	41.7%	58.3%	Mid-taper
18	37.5%	62.5%	
24 (Steady)	30%	70%	Permanent final split

Notes

- All figures are illustrative and depend on actual epoch emission size and total LP participation.
- The 0.5% emission is recurring every epoch. The split only changes during the 24-epoch taper window.
- After epoch 24 the split locks at 70/30 permanently.
- No treasury, development, or reserve allocation is taken from the 0.5% emission.